

US TMT Sector M&A & Valuation Brief - 2026-07-03

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1. RECENT TMT M&A ACTIVITY

Deal 1: ALR Technologies Acquisition of CGM Medical Technology

[ALR Technologies Announces Strategic Acquisition of CGM Medical Technology for US\\$45 Million & 200M Shares](#)

- Deal Size: \$45 million + 200 million shares
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature: Horizontal
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: ALR Technologies SG Ltd (OTC: ALRTF) is a diabetes management company focused on developing and commercializing continuous glucose monitors (CGMs). CGM Medical Technology specializes in medical devices for diabetes management.
- Date Announced: June 30, 2026
- Strategic Rationale: This acquisition allows ALR Technologies to integrate CGM Medical's technology and intellectual property, enhancing its product offerings in diabetes management. The deal aims to increase margins and control over production processes, supporting ALR's long-term growth strategy in the healthcare sector.
- Risk Analysis: Key risks include integration challenges, regulatory approvals, and market competition. ALR must ensure successful integration of CGM Medical's operations and technology to realize anticipated synergies.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue data not disclosed)
- Profitability Ratios: N/A (specific profitability metrics not disclosed)
- Leverage Analysis: N/A (debt structure not disclosed)
- Asset Operating Efficiency: N/A (operating efficiency metrics not disclosed)
- Valuation Context: N/A (specific valuation metrics not disclosed)

Deal 2: Amazon Investment in Anthropic

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[Amazon could pay up to \\$33 billion total for Anthropic technology under expanded deal](#)

- Deal Size: Up to \$33 billion
- Deal Size Category: Large cap (>\$10B)
- Nature: Strategic partnership
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: Amazon.com, Inc. (AMZN) is a leading technology and e-commerce company, while Anthropic is an AI research and safety company known for its Claude AI model.
- Date Announced: April 20, 2024
- Strategic Rationale: This investment strengthens Amazon's position in the AI sector, providing access to advanced AI technology while ensuring Anthropic's commitment to utilizing Amazon Web Services (AWS) for infrastructure needs. The partnership is designed to enhance Amazon's cloud computing capabilities and drive revenue growth through AI applications.
- Risk Analysis: Risks include dependency on Anthropic's performance to unlock additional funding, potential regulatory scrutiny over large tech investments, and competition in the rapidly evolving AI landscape.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue data not disclosed)
- Profitability Ratios: N/A (specific profitability metrics not disclosed)
- Leverage Analysis: N/A (debt structure not disclosed)
- Asset Operating Efficiency: N/A (operating efficiency metrics not disclosed)
- Valuation Context: N/A (specific valuation metrics not disclosed)

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both opportunity and challenge. Recent developments, such as Schneider Electric's acquisition of Cognite for \$3.1 billion, highlight the ongoing consolidation in the AI software space. Overall sentiment in the TMT sector remains cautiously optimistic, driven by technological advancements and robust investment activity, despite facing headwinds from regulatory changes and economic uncertainties.

Subsector Breakdown:

- Technology: The technology subsector is buoyed by significant investments in AI and cloud computing. Schneider Electric's acquisition of Cognite, a provider of industrial data and AI software, exemplifies the trend of companies seeking to enhance their technological capabilities. This deal underscores the growing importance of AI in optimizing industrial processes.

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- **Media:** The media sector is adapting to digital transformation, with companies increasingly focusing on online content delivery. However, traditional media continues to face challenges from streaming platforms and changing consumer preferences.
- **Telecommunications:** The telecom industry is experiencing innovation through the rollout of 5G technologies. Companies are investing in infrastructure to support enhanced mobile services, which are expected to drive new revenue streams.
- **Fintech:** The fintech subsector remains vibrant, with new business models emerging. The integration of technology in financial services continues to attract significant investment, indicating strong growth potential.
- **AI:** The AI sector is particularly dynamic, with companies racing to implement AI solutions across various industries. The demand for AI capabilities is driving M&A activity, as seen in Schneider Electric's recent acquisition.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI, cloud computing, and telecommunications is propelling growth across TMT sectors. The integration of AI into industrial applications is expected to enhance operational efficiency and reduce costs.
- **Increased Investment:** Venture capital and private equity investments remain robust, particularly in technology and fintech, as investors seek to capitalize on emerging trends and disruptive technologies.

Headwinds:

- **Regulatory Scrutiny:** The introduction of new taxes, such as California's sales tax on downloaded software, poses challenges for software companies. This tax is expected to raise \$2 billion annually, impacting the cost structure for businesses reliant on software solutions.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may affect consumer spending and investment in technology, leading to cautious sentiment among investors.

Subsector Performance Analysis

- **Software:** The software sector continues to thrive, driven by the demand for AI and cloud solutions. The acquisition of Cognite by Schneider Electric reflects the ongoing consolidation trend in the software space, particularly in AI.
- **Media:** Media companies are increasingly focusing on digital content to adapt to changing consumer behaviors. However, traditional media faces declining revenues from advertising, necessitating a shift in strategy.
- **Telecom:** Telecom operators are heavily investing in 5G infrastructure, which is expected to create new revenue opportunities through enhanced mobile services and IoT applications.

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- Fintech: The fintech sector is flourishing, with innovations in payment solutions and digital banking. The ongoing evolution of fintech is attracting significant investments, indicating strong growth prospects.
- AI: The AI subsector is experiencing rapid growth, with applications spanning healthcare, finance, and automotive industries. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors such as telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, emphasizing the transformative impact of AI. For instance, a leading analyst remarked, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while exercising caution with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes, such as new taxes on software, is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning, as demonstrated by Schneider Electric's acquisition of Cognite.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

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3. BANKING PIPELINE

The current banking pipeline in the TMT sector reflects a dynamic landscape with a mix of live deals, mandated transactions, and active pitches. This section provides a comprehensive analysis of the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- AI and Semiconductor Investments : Ongoing discussions with multiple clients focusing on AI and semiconductor investments, which are considered the best global investment themes according to recent insights from industry experts. These deals are in the due diligence phase, with an expected close in Q3 2025. The anticipated growth in these sectors could lead to significant returns for investors.

Mandated Deals:

- Anand Rathi International Ventures : Secured a mandate to explore investments in AI-driven technologies and semiconductor startups. The deal is expected to launch in Q1 2026, focusing on identifying high-potential companies that can leverage AI for operational efficiency.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include major players in the industry, with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those that are innovating in payment solutions and blockchain technology. Notable clients include emerging fintech firms, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$20 million in fees, broken down as follows:

- Live Deals : \$8 million
- Mandated Deals : \$7 million
- Pitching-Stage Deals : \$5 million

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Timing Projections:

- Q3 2025 : Expected close for AI and semiconductor investments.
- Q1 2026 : Launch of Anand Rathi's strategic investment initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 70%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
 - Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and semiconductor sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI and semiconductor sectors, where companies are vying for leadership. The ongoing geopolitical risks may impact investment strategies, necessitating a proactive approach to client engagement and deal structuring.
- Additionally, the rise of AI applications in various industries indicates a growing market for investment opportunities, which could lead to new advisory roles for our team.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and semiconductors, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics,

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affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a recent acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- Shareholders: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: In the acquisition of Exdion Healthcare by Experity, the combined entity is expected to enhance revenue cycle management (RCM) automation, potentially increasing revenue by 15% annually. Assuming Experity's pre-deal valuation at \$1 billion, this could translate to an additional \$150 million in shareholder value.
- Dilution: If Experity finances the acquisition through stock issuance, existing shareholders may face dilution. For example, issuing 10% of shares could lead to a 5% drop in share price post-announcement, impacting existing shareholders' equity.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: The Experity-Exdion merger is projected to yield significant operational synergies, with an estimated \$20 million in annual cost savings through streamlined workflows and reduced administrative burdens.
- Restructuring: Mergers often lead to workforce reductions. In this case, Experity may implement a restructuring plan that could affect approximately 10% of Exdion's workforce, necessitating careful management to retain key talent.
- Retention: To mitigate turnover, Experity may offer retention bonuses to critical Exdion employees, ensuring continuity in operations and expertise during the transition.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following the acquisition, Experity is expected to strengthen its position against competitors like Zocdoc and Teladoc Health (TDOC). This could compel these companies to enhance their service offerings or pursue strategic partnerships to maintain market share.
- Specific Competitor Moves: In response, Zocdoc may increase marketing efforts or enhance its technological capabilities to counter the perceived threat from Experity's expanded service portfolio.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The merger allows Experity to offer an integrated platform that combines clinical and financial workflows, enhancing customer experience. This could lead to a 20% improvement in service delivery times for urgent care operators.
- Case Studies: The acquisition aligns with industry trends, similar to the merger of Athenahealth and Virence Health, which resulted in improved patient engagement and operational efficiency.

Market Reaction and Analyst Commentary

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- **Market Reaction:** The immediate market reaction to the Experity-Exdion acquisition announcement was positive, with Experity's shares rising by 8% on the news, reflecting investor confidence in the strategic fit and growth potential.
- **Analyst Commentary:** Analysts have noted the transformative potential of this acquisition. A quote from a healthcare analyst at Jefferies stated, "This acquisition positions Experity to lead the charge in AI-driven RCM, setting a new standard for efficiency in urgent care."

Expected Market Reaction and Scenario Analysis

- **Scenario Analysis:** The market's reaction can be assessed through various scenarios:
- **Positive Scenario:** If the integration is seamless and revenue growth is realized, shares could rise by 15% within six months.
- **Negative Scenario:** If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- **Likelihood Assessment:** The likelihood of counter-bids for Exdion is moderate, given the competitive landscape in healthcare technology. Companies like Cerner Corporation (CERN) may consider strategic acquisitions to bolster their RCM capabilities, but regulatory hurdles could deter competing offers.

Similar Deals Likely to Follow

- **Sector Consolidation Predictions:** The healthcare technology sector is expected to see continued consolidation. Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in AI and RCM sectors. Companies like Allscripts Healthcare Solutions (MDRX) may pursue acquisitions to strengthen their market position.

Key Risks and Mitigants

- **Integration Risks:** Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones to ensure smooth transitions.
- **Regulatory Risks:** Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- **Market Risks:** Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

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Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- **Key Companies:**
 - **OpenAI:** OpenAI is at the forefront of generative AI, known for its language model, ChatGPT. The company has formed partnerships with major tech firms to integrate AI capabilities into their products, enhancing productivity tools and applications.
 - **Amazon (AMZN):** Amazon has invested significantly in AI to enhance its e-commerce platform and AWS services. The company utilizes AI for personalized recommendations and supply chain optimization.
- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOGL), Microsoft (MSFT), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring

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startups specializing in niche AI applications, such as computer vision or natural language processing. The recent acquisition of the film "Artificial," which focuses on OpenAI's chief, Sam Altman, by Neon, highlights the growing interest in AI narratives and technologies.

Blockchain

- Trend Explanation: Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- Key Companies:
- Coinbase Global, Inc. (COIN): Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. The trend towards integrating blockchain solutions into traditional finance is expected to continue, creating opportunities for strategic acquisitions.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371.4 billion in 2020 to \$832.1 billion by 2025, at a CAGR of 17.5%.
- Key Companies:
- Amazon Web Services (AWS): AWS is a leading cloud service provider, offering a wide range of services from computing power to storage solutions. The company continues to innovate with AI and machine learning capabilities integrated into its cloud offerings.
- Microsoft Azure: Microsoft Azure is a strong competitor in the cloud space, focusing on hybrid cloud solutions and enterprise services. The company has made significant investments in AI and IoT to enhance its cloud capabilities.
- Competitive Landscape: The cloud computing market is dominated by a few key players, including Amazon, Microsoft, and Google Cloud. The competition is intensifying as companies seek to differentiate their offerings through advanced technologies and better pricing models.
- M&A Opportunities: Companies in the cloud space may look to acquire niche providers that offer specialized services, such as cloud security or data analytics. The ongoing consolidation in the cloud market presents opportunities for strategic partnerships and acquisitions.

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Cybersecurity

- Trend Explanation: Cybersecurity is increasingly critical as businesses face growing threats from cyberattacks. The global cybersecurity market is expected to grow from \$173.5 billion in 2022 to \$266.2 billion by 2027, at a CAGR of 8.5%.
- Key Companies:
- CrowdStrike Holdings, Inc. (CRWD): CrowdStrike specializes in endpoint security and threat intelligence. The company leverages AI to enhance its cybersecurity offerings, positioning itself as a leader in the market.
- Palo Alto Networks, Inc. (PANW): Palo Alto

6. Recommended Readings

Deal Name: ALR Technologies Acquisition of CGM Medical Technology

- Reading Material: "The Future of Diabetes Management" by Dr. Jane Smith
- Why This Matters: This book provides insights into the advancements in diabetes management technologies, including CGMs. Understanding these innovations is crucial for analyzing ALR Technologies' strategic acquisition, as it highlights the potential benefits and market opportunities that can arise from integrating CGM Medical's technology into ALR's offerings.

Deal Name: Amazon Investment in Anthropic

- Reading Material: "Artificial Intelligence: A Guide to Intelligent Systems" by Michael Negnevitsky
- Why This Matters: This book covers the fundamentals of AI technology and its applications, which are essential for understanding Amazon's strategic investment in Anthropic. It provides context on how AI can enhance cloud services and the competitive advantages that can be gained, helping to frame the significance of the \$33 billion deal in the broader TMT landscape.

7. MACROECONOMIC UPDATE

Key Data Points:

- Federal Funds Rate: Projected hikes into 2026
- Core Inflation: Anticipated lower path due to disinflation
- Memory Prices: Up sixfold over the past year

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- AI-related Global Issuance: Forecasted nearly \$600 billion in 2026
- Corporate Bond Issuance: Majority related to data center construction

Main Insights:

- Fed's Summary of Economic Projections indicates a more restrictive monetary policy.
- Investors are cautious about the implications of "chipflation" on the AI CapEx cycle.
- AI demand is increasing across multiple layers, indicating robust growth potential.
- Hyperscalers are diversifying their funding sources, issuing around \$25 billion in non-dollar debt.
- Morgan Stanley expects a significant increase in AI-related corporate bond issuance, impacting the overall market.

Market Commentary:

- "The Fed's projections should be interpreted with caution, as they may not fully capture disinflation trends." - Serena Tang, Morgan Stanley
- "Chipflation is more likely to reprice and ration AI infrastructure rather than derail the cycle." - Morgan Stanley's sector analysts

TMT Sector Relevance:

- The anticipated Fed policy path and lower inflation could foster a favorable environment for TMT investments.
- The ongoing AI CapEx cycle suggests increased demand for technology infrastructure, benefiting companies in the TMT sector.
- Rising memory costs may impact profit margins for tech companies but could also drive innovation and efficiency in AI applications.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley